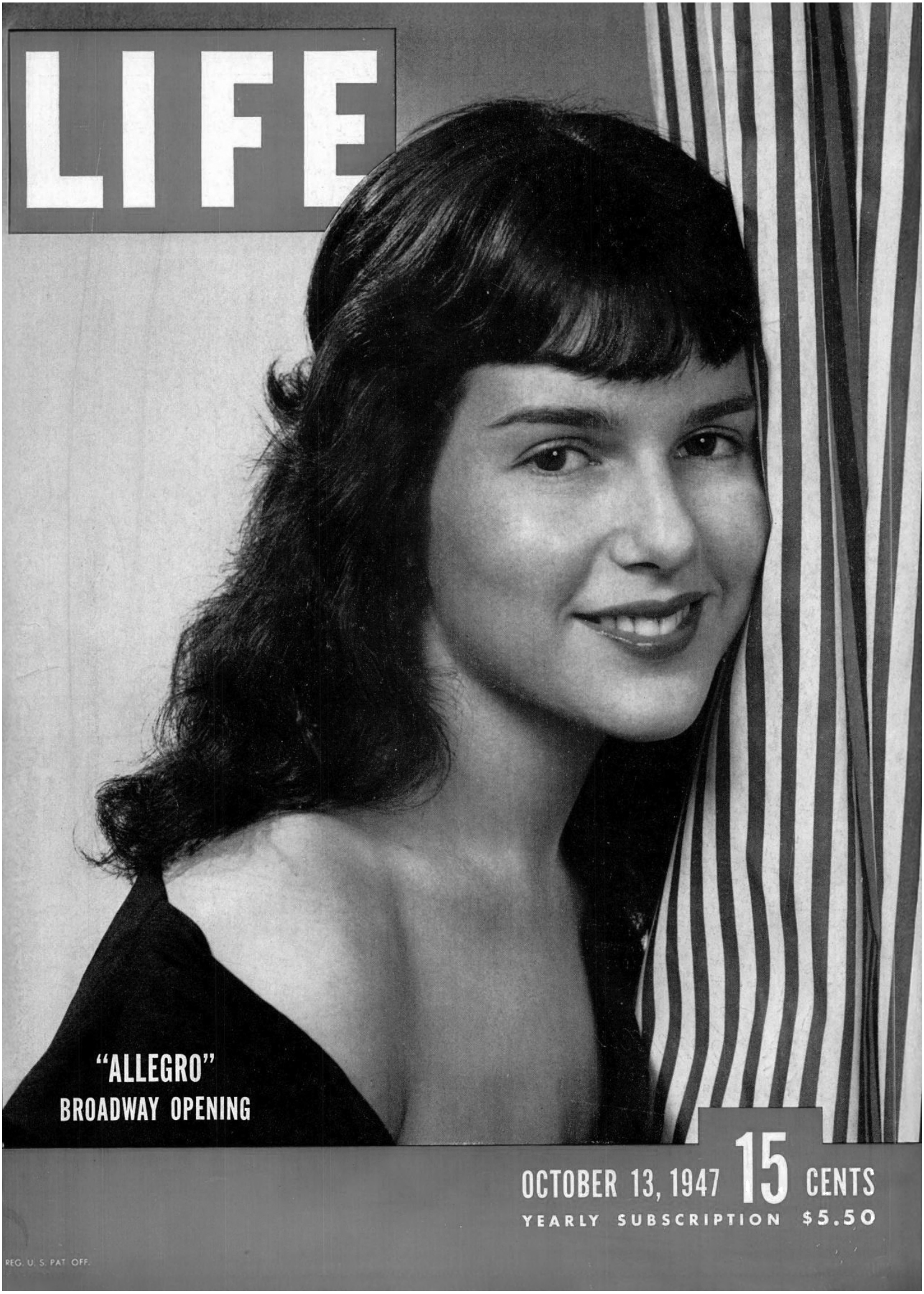
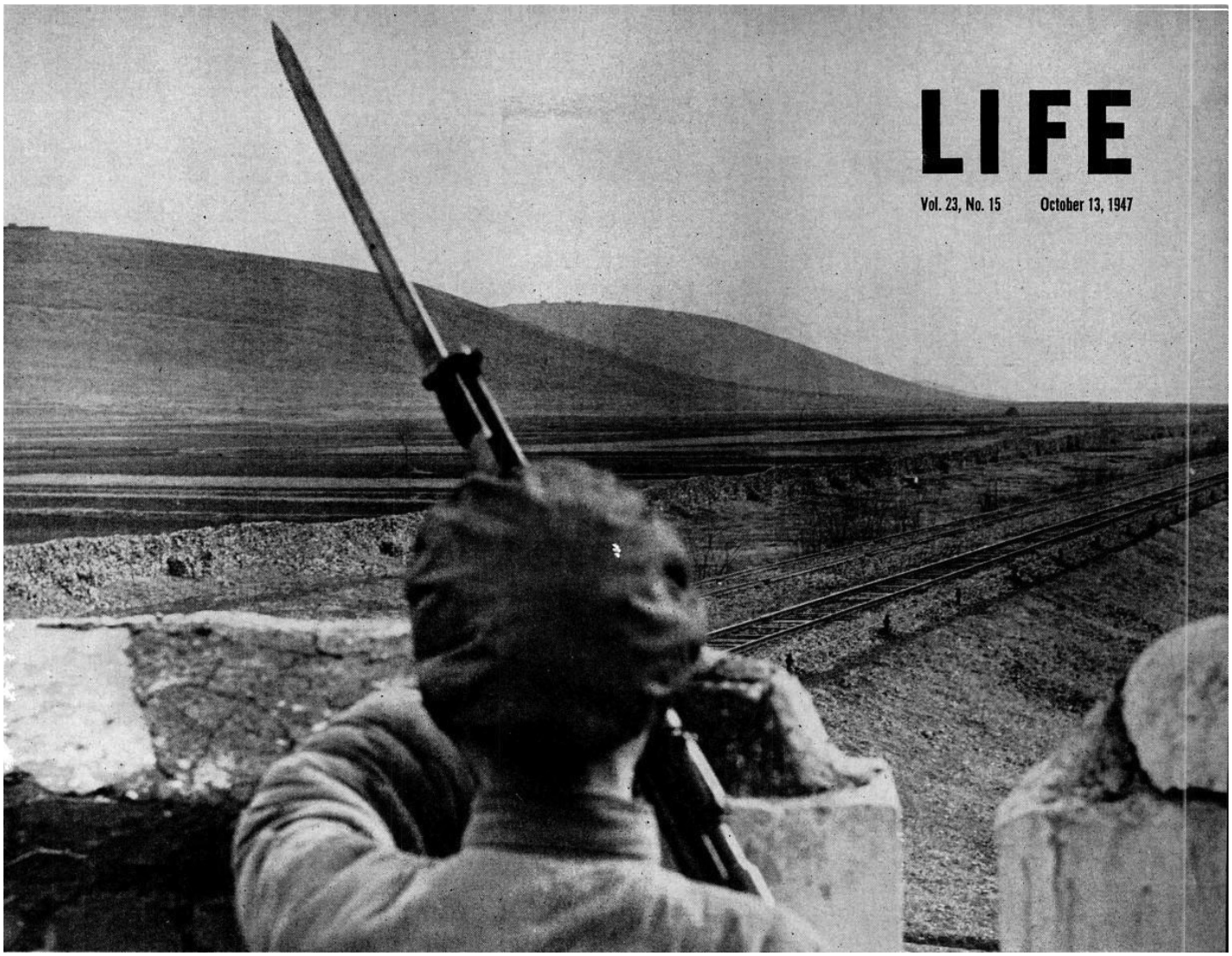

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BEYOND THESE HILLS LIES COMMUNIST CHINA. HERE A NATIONALIST SENTRY GUARDS A VITAL RAILWAY LINE AGAINST GUERRILLA RAIDS

A REPORT to the American People on CHINA

by WILLIAM C. BULLITT

A distinguished diplomat, on assignment in the Far East for LIFE, finds that:

▶ Without U.S. help China is doomed to become a satellite of Russia

▶ China can be saved—for only one twentieth the cost of helping Western Europe under the Marshall Plan

▶ But we must act at once

TO prevent the domination of China by any nation which might eventually mobilize the 450 million Chinese for war against us is a vital interest of the U.S.

Only two great powers have threatened to dominate China—Russia and Japan—and the U.S. has opposed whichever of those powers has been momentarily the more dangerous aggressor. Today Japan is no longer a great power. But Soviet imperialism, following in the footsteps of Czarist imperialism, and using the Chinese Communists as instruments of Soviet power politics, is striving to reduce China to the status of a satellite of the Soviet Union. Not merely the territorial integrity of China but her very independence is at stake. In our own self-defense, therefore, we must act to prevent Soviet domination of China and the eventual mobilization of Chinese manpower for war against us.

Can China be kept out of the hands of Stalin? Certainly—and at a cost to ourselves which will be small compared to the magnitude of our vital interest in the independence of China.

By what means? Before answering that question let us glance briefly at some events of the past 20 years and some aspects of the present situation which should influence our conclusions.

In the year 1928 Generalissimo Chiang Kai-shek completed his conquest of the northern war lords and established the authority of the national government. The period from 1928 to 1937 was one of great progress, in spite of the seizure of Manchuria by the Japanese in 1931. By 1937 the national revenues had been trebled and the national budget brought close to balance. The New Life Movement, started by the Generalissimo, had infused a fresh, creative idealism into many Chinese, especially the youth. The Communists, confined to poverty-stricken Shensi, seemed powerless, and many believed that, in spite of the loss of Manchuria, China could and would win her way back quickly to economic health and national strength.

The Generalissimo was wiser. In the private papers of President Roosevelt will be found a report of a mission to Nanking on which I was sent by the President in the autumn of 1934. In the course of a series of long conversations the Generalissimo made predictions which for foresight and

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wisdom have rarely been surpassed in the annals of statesmanship. He felt certain that the Japanese would not permit China to recover her strength but would strike again, because Chinese reconstruction was going too well and too quickly to suit them. He predicted that Japan would attack by 1937 at the latest. The attack came in 1937. He predicted that the attack would be started by a trumped-up incident in the area between Peiping and Tientsin. It was started at the Marco Polo Bridge near Peiping. He said that he would fight in North China and lose; that he would fight at Shanghai, Nanking and Hankow and lose them all; that he would then place his capitol at Chungking in the remote province of Szechwan; that he had just invested $100 million (Chinese) in the construction of small-arms factories in the Szechwan cities of Chungking and Chengtu; that the Japanese would never get into Szechwan; that he would never make peace with them so long as he lived, and that in the end they would be defeated. That is the exact history of the events from 1937 to 1945.

He then predicted that after the defeat of Japan, if he were still alive, he would face his greatest difficulties. The country would be ruined, the people exhausted. To lead the Chinese to the peaceful establishment of democratic institutions and modernization of their ancient civilization was the ambition of his life, but it would be a harder task than even the defeat of the Japanese.

In that also he saw clearly. There is no truer saying than the old French one: "To govern is to foresee." Chiang Kai-shek foresees.



WILLIAM C. BULLITT, former ambassador to Russia and France, visited China before the war as President Roosevelt's personal representative. Returning this year as a reporter for LIFE, he spent two months gathering material for his present report.

Yalta—disgraceful document

WHAT Chiang Kai-shek did not foresee, however, was the possibility that China might be betrayed by her allies in the war. In the latter part of November 1943 the Generalissimo met President Roosevelt and Prime Minister Churchill in Cairo, and at the close of their conference they issued the following joint statement:

"Cairo Declaration, December 1, 1943. President Roosevelt, Generalissimo Chiang Kai-shek and Prime Minister Churchill.

"It is their purpose that Japan shall be stripped of all the islands in the Pacific which she has seized or occupied since the beginning of the first World War in 1914, and that all the territories Japan has stolen from the Chinese, such as Manchuria, Formosa and the Pescadores, shall be restored to the Republic of China."

But 14 months later at Yalta, on Feb. 11, 1945, President Roosevelt signed with Marshal Stalin and Prime Minister Churchill, secretly, behind the back of China, an agreement by which vital rights of China in her province of Manchuria were sacrificed to Soviet imperialism. No more unnecessary, disgraceful and potentially disastrous document has ever been signed by a President of the U.S. Unnecessary, because at a time when it was obvious that no power on earth could prevent Stalin from declaring war on Japan at the last minute, we bought his entry into the war at the expense of a major injury to our ally, China. Disgraceful, because all the weasel words in the world cannot convince any fair-minded man that we kept our Cairo pledge to China. Potentially disastrous, because we handed to Stalin a deadly instrument for the domination of China and thereby paved the way for war in the Far East. This Yalta Agreement reads as follows:

"The leaders of Three Great Powers—the Soviet Union, the United States of America and Great Britain—have agreed that in two or three months after Germany has surrendered and the war in Europe has terminated the Soviet Union shall enter into the war against Japan on the side of the Allies on condition that:

1. The status quo in Outer Mongolia (the Mongolian People's Republic) shall be preserved.

2. The former rights of Russia violated by the treacherous attack of Japan in 1904 shall be restored, viz:

a) The southern part of Sakhalin as well as all the islands adjacent to it shall be returned to the Soviet Union.

b) The commercial port of Dairen shall be internationalized, the pre-eminent interests of the Soviet Union in this port being safeguarded and the lease of Port Arthur as a naval base of the U.S.S.R. restored.

c) The Chinese-Eastern Railroad and the South-Manchurian Railroad which provide an outlet to Dairen shall be jointly operated by the establishment of a joint Soviet-Chinese Company, it being understood that the pre-eminent interests of the Soviet Union shall be safeguarded and that China shall retain full sovereignty in Manchuria;

3. The Kuril Islands shall be handed over to the Soviet Union.

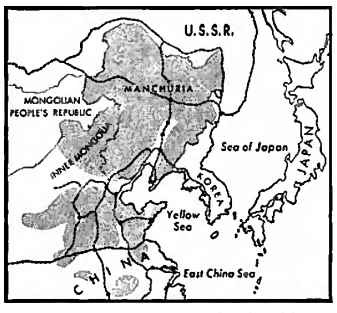
"It is understood that the agreement concerning Outer Mongolia and the ports and railroads referred to above will require concurrence of Generalissimo Chiang Kai-shek. The President will take measures in order to obtain this concurrence on advice from Marshal Stalin.

"The Heads of the Three Great Powers have agreed that these claims of the Soviet Union shall be unquestionably fulfilled after Japan has been defeated.

"For its part the Soviet Union expresses its readiness to conclude with the National Government of China a pact of friendship and alliance between the U.S.S.R. and China in order to render assistance to China with its armed forces for the purpose of liberating China from the Japanese yoke.

Joseph V. Stalin
Franklin D. Roosevelt
Winston S. Churchill

February 11, 1945.
Yalta, U.S.S.R."



CIVIL WAR centers around railroad lines. Areas shown in gray are held by Communists.

Let us see what this means.

Paragraph numbered 1 means that the Communist state set up by the Soviet Union in the Chinese province of Outer Mongolia shall be permanently detached from China.

Paragraph numbered 2 recognizes that the "rights" which Russia acquired by the most brutal use of force in Manchuria following the Boxer Rebellion of 1900—"rights" the validity of which had always been denied by the U.S. government and contested in our Open Door doctrine—were legitimate rights—thus stultifying the policy of John Hay and Theodore Roosevelt.

Paragraphs numbered 2b and 2c give the Soviet Union not only "pre-eminent interests" in the great Manchurian port of Dairen and full control of the great naval base of Port Arthur which protects it, but also "pre-eminent interests" in the railroads which lead from the Soviet Union to Dairen and split Manchuria from the northwest to the south.

This is as if allies of the U.S., secretly, should agree to give to the Soviet Union "pre-eminent interests" in New York City and full control of the forts guarding the harbor, and "pre-eminent interests" in the New York Central Railroad from the Great Lakes to New York City. We should consider that a curious way to carry out a pledge that New York State would be restored to us, even though we were told piously that we still had full sovereignty over it. Manchuria, which contained 70% of the industrial strength of China—until the Red Army seized and shipped to the Soviet Union $2 billion worth of industrial machinery—is no less important to China than New York State is to the U.S. And the Chinese think that we chose a somewhat curious way to carry out our Cairo pledge to restore Manchuria to China.

Cynical indecency

BUT the two unnumbered paragraphs following the paragraph numbered 3 contain the cream of the evil jest. First, President Roosevelt agrees that, when Stalin tells him to, he will "take measures" to obtain Generalissimo Chiang Kai-shek's consent to this insertion of the Soviet Union into the heart of Manchuria. Second, the heads of the three great powers agree that the Soviet Union's claims "shall be unquestionably fulfilled"—in other words, fulfilled whether or not China consents. For cynical indecency these paragraphs are without parallel in the diplomatic history of the U.S.

As all Americans now know, President Roosevelt after our entry into World War II based his foreign policy and his hopes of world peace on the gamble that he could convert Stalin from Soviet imperialism to democratic collaboration. Although on Feb. 10, 1940 the President had stated, "The Soviet Union, as everybody who has the courage to face the fact knows, is run by a dictatorship as absolute as any other dictatorship in the world," he began to have the Soviet Union referred to in official

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A Report on CHINA

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communications as a "peace-loving democracy." Until President Truman's speech of March 12 this year the official doctrine of the U.S. government remained the farce that the Soviet Union was a peace-loving democracy and that the Chinese Communists were mere agrarian reformers who did not take orders from Moscow. This doctrine gave rise to spectacular actions in the Far East. Vice President Wallace, then Ambassador Hurley and finally General Marshall were sent to end the war between the Chinese government and the army of the Chinese Communists.

WE HELPED PROLONG CIVIL WAR

▶ We insisted that Chiang make peace with the Communists

▶ But the Communists used the "Marshall truce" to take Manchuria

▶ We refused Chiang the aid we had promised him

GENERAL Marshall reached Chungking, which was then the capital of China, on Dec. 22, 1945 and so great was his prestige that he was able by Jan. 10, 1946 to obtain signature of an armistice by the Chinese government and the Communists. Moreover, just before leaving for Washington on March 11, 1946, he seemed to have paved the way for the enforcement of a truce in Manchuria. Thus it appeared that in less than three months General Marshall was well on his way toward stopping the fighting in China.

This surface appearance was deceptive. The Soviet government's objectives were not those of General Marshall. On V-J Day there were no Chinese Communist troops in Manchuria. The Soviet plan was to use the time gained by the armistice to transfer as many Communist troops as possible from North China to Manchuria and there to arm them with the abundant Japanese supplies and equipment which the Russian Red Army had seized when the Japanese army in Manchuria surrendered. To withdraw the Russian Red Army from Manchuria only when it could be replaced by a well-armed Chinese Red army and to use the Marshall armistice period for this purpose, was the Soviet plan. It worked perfectly.

On April 14, 1946, immediately after the evacuation of the capital of Manchuria, Changchun, by the Soviet Army, the Chinese Red Army attacked it. General Marshall returned to China on April 17 and the next day Changchun fell to the Communists.

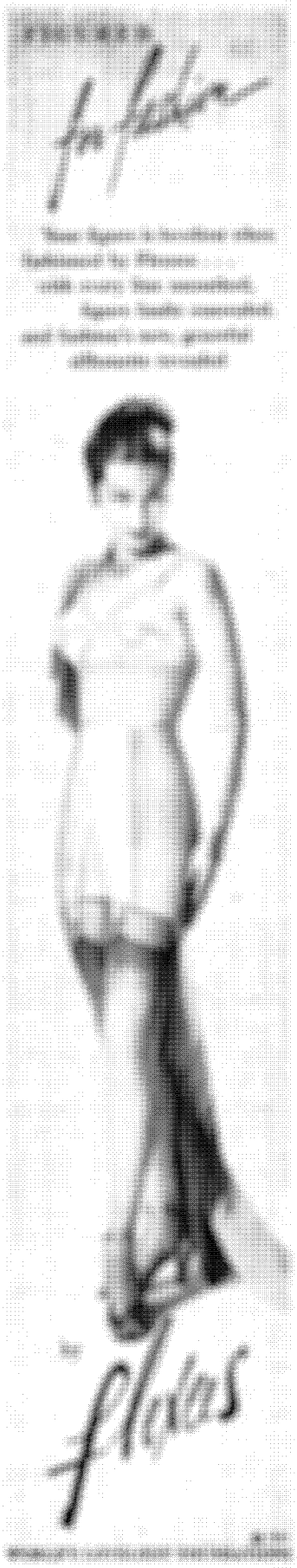
General Marshall resumed his task with his customary determination and dignity. But, in truth, from the beginning he had no chance to succeed. The final verdict on General Marshall's actions in China must be that never was a distinguished soldier sent on a more hopeless and unwise political mission.

After the failure of General Marshall's mission American policy toward China fell into a tired apathy, marked by a weary and petulant inclination to "let China stew in her own juice." In order to bring pressure on the Chinese government to compel it to accept our erroneous thinking that the Soviet Union was a "peace-loving democracy" we cut off all aid to the Chinese government. The $500 million loan earmarked for China was withheld. The "Eight and One Third Air Group Program"—by which we agreed to equip and provide maintenance parts for eight and one third groups of the Chinese air force—was stopped by our unilateral action in September 1946.

Most serious of all, having equipped some Chinese divisions entirely with American artillery, machine guns and rifles, and others partially, and promised to help maintain this armament, we had held up export licenses for munitions. In consequence Chinese divisions without ammunition and with worn-out American equipment were facing Communist troops newly equipped in Manchuria

CONTINUED ON NEXT PAGE





by the Soviet Union with abundant supplies of Japanese rifles, machine guns and cannon. Our policy resulted in disarming our friends while the Soviet Union was arming our enemies. By the spring of this year it was evident that unless we changed our policy China would not "stew in her own juice" but in Soviet juice. Last July 11 General Albert C. Wedemeyer was sent to China to resurvey the situation. What is the situation?

Today the Chinese government holds firmly all China as far north as the Yangtze River. Small bands of bandits, some of whom call themselves Communists, hold remote areas south of the Yangtze; but the Shanghai fashion of calling the area south of the Yangtze "the zone of peace and reconstruction" is justified. The area from the Yangtze north to the borders of the Soviet Union is definitely a war zone.

The war there, however, in no way resembles warfare of the sort that our troops experienced in Europe in either World War. The Communists use guerrilla tactics, moving swiftly and attacking at night, hiding in villages and resting in the daytime. An observer in a plane may fly low over hundreds of miles of territory in North China and Manchuria through which these guerrillas are scattered and never see a single soldier or the slightest evidence of troop movement. At dusk the Communists assemble, march fast toward their objective, often covering as much as 20 miles, and strike in the night. They are attempting to bring down the government not by destroying its armed forces but by wrecking the economic life of the country. Hence they do not hesitate to burn towns and villages, destroy railroads and blow up industrial installations, such as power plants, which they cannot carry away.

The government armies attempting to protect cities, towns and villages are for the most part tied down to fixed points. They move more slowly than the Communists, and often when they attack they find that the Communists have quietly withdrawn in the night. A government drive to clear Shantung is now in progress, but already a large body of Communists has escaped into the adjoining province of Honan and is laying waste the rich country there.

In Manchuria the situation is altogether different. Government troops hold most of south Manchuria, except Dairen and Port Arthur which are occupied by the troops of the Soviet Union. But Communist troops hold all the rest of Manchuria, except a long finger-shaped salient from Mukden to Kirin. This salient follows what was once the major railroad of Manchuria, passing through Szepingkai and Changchun. It is a railroad no longer. Communists have destroyed every bridge north of a point 30 miles to the south of Szepingkai. Most of the ties have been burned and many of the rails twisted by placing them across the blazing ties.

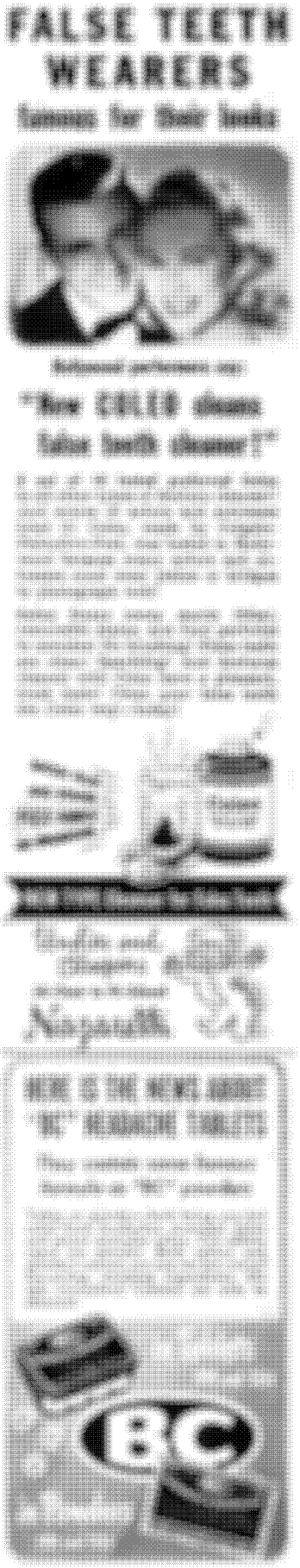
In consequence the great government-held city of Changchun, once the capital of "Manchukuo," is totally cut off from rail communication. In fertility of soil and beauty of scenery the Manchurian valley in which it lies resembles the Spokane valley in our state of Washington. And the surrounding country is so rich that the city still has ample food brought by cart. But it has no coal.

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A NOTE ABOUT CHINA

Whether because the struggle for existence in China has been so severe that only the fittest have survived or because of an exceptional inborn racial vitality, the Chinese can live on less and work harder than any other race of man. And withal be happy. There are far more smiles emerging from an inner serenity in Shanghai than in New York. Moreover, in basic intelligence as well as physical endurance, they are among the first of the world's peoples. And in the art of conducting human relations on the highest level of courtesy, respect and good humor, they are unsurpassed.

Every Chinese child of every class learns the ethics of Confucius from his parents. Indeed, he is apt to have no education whatsoever except this moral education. Their moral literacy is as high as their intellectual illiteracy. They have much to learn from us in the fields of industrial efficiency, medicine, sanitation and the art of war, but they have little to learn from us in the art of living. If ever the Chinese achieve peace and can add to their physical vigor, mental vitality and ethical rightness, the industrial techniques of America, they may once more, as in the past, lead the world in civilization.





And winter in Manchuria is arctic. In consequence every bit of wood in the city that can be scavenged—even the doors, window frames, floors and beams of excellent buildings—is being cut up for firewood.

Changchun is held by the First Army, perhaps the best of all the Chinese government armies. It was trained, clothed and equipped in Burma and led by General Stilwell. The troops still look well enough to justify General Stilwell's faith that the Chinese soldier, when well trained, clothed, fed, equipped and led, is the equal of any fighting man in the world. But behind their gallant appearance there is little of the strength they had under American command. They have only American equipment. They have been using it ever since they fought beside our men in Burma. It is worn out. Their rifles have been used so much that they will no longer shoot straight. They have excellent American artillery but are so short of ammunition that they cannot fire a single practice shot. Their trucks are for the most part broken down, and, as we did not carry out our contract to deliver spare parts, they cannot repair them. They have not a single airplane even for reconnaisance since we did not carry out our promise to put through the Eight and One Third Air Group Program. By persuading the Chinese government to adopt American equipment and then refusing munitions, we have put these soldiers on the end of a very long limb. They have large Communist forces to east and west. Last week these Communist armies began what may be the large-scale assault the First Army has long been expecting.

The First Army's only means of communication to the south is by an appallingly bad road which has Communist troops in force a few miles to the east and west of it. They are in a situation which would cause any European or American soldier or officer to lie awake at night. They take it calmly, confident that even if they should be entirely cut off from the south they would be able to hold out until help should arrive.

Whatever the issue of battle may be, the Chinese government cannot withdraw from Manchuria and must attempt to re-enforce its troops in Manchuria at any cost. If Manchuria should be abandoned to the Communists or should fall into their hands by conquest, a course of events fatal to China would follow.

How Stalin could win

IT is not difficult to foresee that the Communists would at once proclaim the "independence" of a "People's Republic of Manchuria," or that this "republic" would soon be recognized by the "Independent People's Republic of Outer Mongolia," which is entirely controlled by the Soviet government, and that the two "independent republics" would then enter into a mutual-assistance pact. And it is not difficult to imagine that the Chinese ambassador in Moscow would then be summoned by Molotov and politely reminded that the Soviet Union has a mutual-assistance pact with the "People's Republic of Outer Mongolia." Therefore if the Chinese government should attempt by arms to regain its province of Manchuria, and Outer Mongolia should go to the assistance of the "People's Republic of Manchuria," the Soviet Union under its pact with Outer Mongolia regretfully would be obliged to use force to prevent the Chinese government from inflicting injury on the forces of Outer Mongolia. Under penalty of Soviet intervention the Chinese government would be forbidden to attempt to recover its province of Manchuria—and Stalin's work at Yalta would be crowned with final success.

He would have all Manchuria firmly in his hands. And Manchuria is the finest piece of territory in Asia. As large as France and Germany combined, containing in its valleys agricultural land as rich as any in the world, where wheat, corn, soya beans and all our northern crops grow superbly; holding great deposits of coal and iron, and even gold; having immense wealth in forests and in waterpower both developed and undeveloped; containing before the war 70% of Chinese industry but populated by only 40 million people and offering immense possibilities for further settlement of overcrowded Chinese farmers, Manchuria is vital for the future development of China.

The urgent need of the government armies in Manchuria for ammunition and spare parts to use in their American arms and equipment is one which cannot be filled in a leisurely manner. It requires immediate action. President Truman should act at once as President Roosevelt acted after Dunkirk, when the British and French were desperately short of munitions. President Roosevelt then had certain stocks of the U.S. Army declared no longer essential for use by the Army. They could then legally be sold, and vast quantities were sold to Great Britain at approximately 10¢ on

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the dollar. We have hundreds of thousands of tons of such stocks today, rotting and rusting throughout the world. Such of those stocks as can be used in Manchuria should be released immediately and sold to China and their transport rushed.

President Truman can legally take this action at once. He does not need to wait for Congress to reconvene. He can act in time to keep Manchuria out of the hands of the Soviet Union. If he does not, one of the first acts of Congress when it reconvenes should be an investigation of our policies with regard to China. Such an investigation might at least fix responsibilities and reveal the names of the men in our government and Foreign Service who are incompetent to preserve the vital interests of the people of the U.S.

INFLATION NOW CRIPPLES CHINA

▶ Government workers cannot live on their salaries; hence many take graft

▶ But to raise their pay would only add to the inflation

▶ We can end the inflation—and the war—at small cost to ourselves

BY acting in time we can keep Manchuria out of the hands of the U.S.S.R. and thus insure China's territorial integrity. But, essential as this is, it is not enough. China must not only be preserved as a free national entity but made a healthy and strong one—a power of such stature that in time she can serve as a real counterweight to the Soviet empire in the Far East. To become strong she must have internal stability, and to achieve this she must above all have financial stability.

China today is caught in the sort of vicious circle that has become familiar to Europeans since World War I. She has been at war since 1937. The Japanese occupied nearly all her great cities, banking centers and industrial regions. The sources of such wealth as she had were in Japanese hands. Therefore she could not finance her war against the invader by sales of bonds, and she could cover only a small portion of the cost of the war by taxation. In consequence she covered her war costs by the only method open to her—the issuance of paper currency.

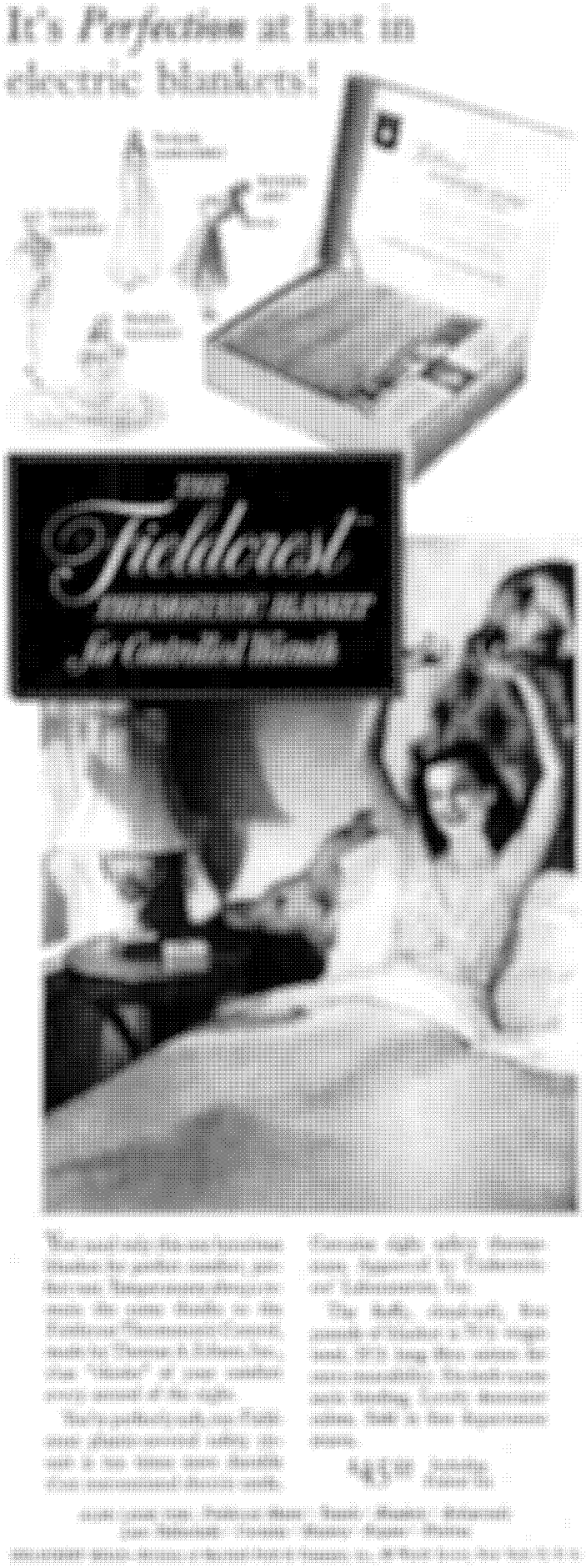
This means that China's war was in reality financed at the cost of the middle class and by reduction of the standard of living of such fixed-income groups as schoolteachers, college professors, government employes, both civil and military, and all who live on the income produced by securities bearing a fixed rate of interest. The cost of living today expressed in Chinese dollars is approximately 30,000 times what it was in 1936, before Japan attacked China. The middle class is ruined.

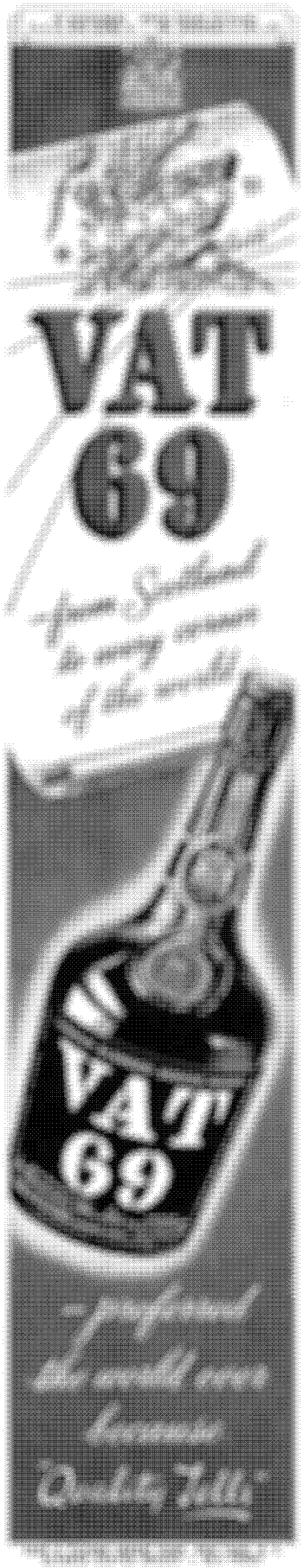
In an effort to keep down expenditures for war purposes, the government has kept down the pay of its soldiers and officers. A private has been receiving in pay the Chinese equivalent of $1.50 a month. A major general receives the equivalent of $17 a month. For purposes of raising morale, as well as other reasons, pay in the army should be quadrupled. But there are more than four million officers and men on the rolls of the army, and a quadrupling of pay would add such a sum to government expenditures, which could be covered only by printing more paper money, that the present steady rise in the cost of living would be accelerated.

The salaries of all government employes from cabinet members to tax collectors are held down to fantastically low levels. In a time of great national peril it is proper to demand vast sacrifices of all who serve the government either as civilians or military men. But the underpayment of government employes in China has passed the limits of human endurance and is producing disastrous results. Soldiers who are grossly underpaid and hear from their families stories of increasing poverty have their morale deeply affected. Officers who cannot possibly support their wives and children on their salaries, if they are men of strong character and patriotism, sell all they possess to keep their families alive, and when they no longer have any possessions to sell, must either see their children starve or use their power as officers to graft or commit suicide. There have been many who have preferred suicide to dishonor, but many have turned to graft.

In the army, graft takes many forms. The simplest is the padding of pay and ration rolls. The Chinese customs service, which before 1937 was one of the most efficient and honest in the world, is now riddled with graft. It still contains many honest men, but the majority expect "squeeze." Tax collectors of all sorts graft. An

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UPENDED RAILROAD TRACKS left behind by Communists are replaced by Nationalist soldiers after the recapture of section of line north of Kaifeng.

CHINA CONTINUED

honest Chinese businessman who owes $10,000 to the government in taxes can declare and pay that sum only at his peril. The tax collector insists on his graft. He will settle for $5,000 for himself and $2,500 for the government. But if the businessman refuses him the graft he will report that the businessman is keeping fraudulent books and that in reality he owes $30,000. The Chinese judges have for the most part endured their sufferings and kept their honor clean. But there are grafting judges also. No item is too small to carry its tiny burden of graft. High-school and college diplomas in China must be registered. The registrars invent all sorts of excuses not to register them until they get their little "squeeze."

Most of these men graft to live, and there is no possible way to stop this sort of graft until all government employes, military and civilian, receive a living wage. But raising of government salaries will increase the inflation, inflation will raise the cost of living, the rising cost of living will quickly absorb the raises in salaries, graft will start again—nobody will be better off. How can China break this vicious circle?

There is only one ultimate answer to that question: finish the war. But how can victory be achieved if the vicious circle in which China is caught prevents the war from being fought effectively?

This is where the U.S. comes in. We can break the vicious circle at several points and at a cost to ourselves which will be small compared to the advantages to be gained for our own security.

The most astonishing facts to be found in China today are not in the realms of war or politics but in the field of finance. Chinese government expenditures, when translated into U.S. dollars at the prevailing rate of exchange, are on a Lilliputian scale. To govern the 450 million Chinese in a territory one third larger than the U.S. and to carry all the expenses of the war, the Chinese government now spends approximately the same sum annually as the municipal government of New York City.

It is a fact that the total government expenditures for the year 1947, at the present rate of exchange, will amount to approximately one billion dollars. It is a fact that all the trillions of Chinese government currency outstanding could theoretically be bought, at the present rate of exchange, for only $250 million.

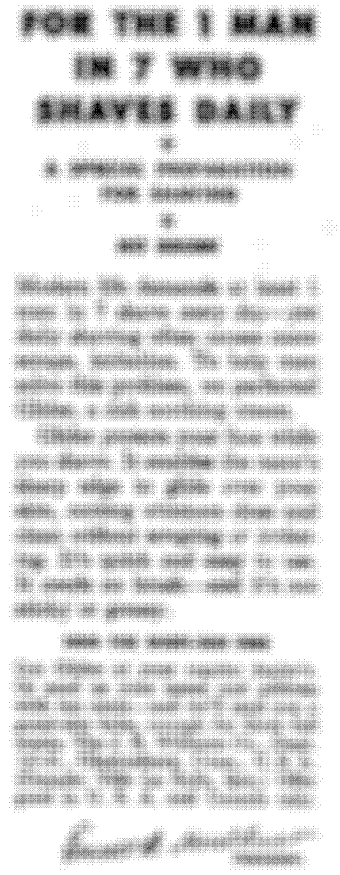
These figures are of the first importance for only one reason—they prove that the problem of giving effective aid to China is within dimensions that we can handle. We can break the vicious circle of Chinese inflation without coming anywhere near breaking ourselves.

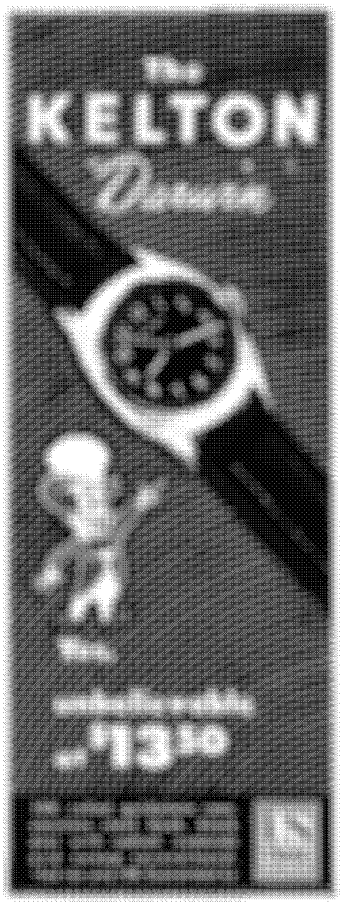
Before we go further into the question of aid to the Chinese government let us remember that wars are won not by arms alone but by fighting spirit, by patriotism and great political leadership. What of political leadership in China today? Has it the qualities necessary to lift the tired, hungry nation to new heights of self-sacrifice?

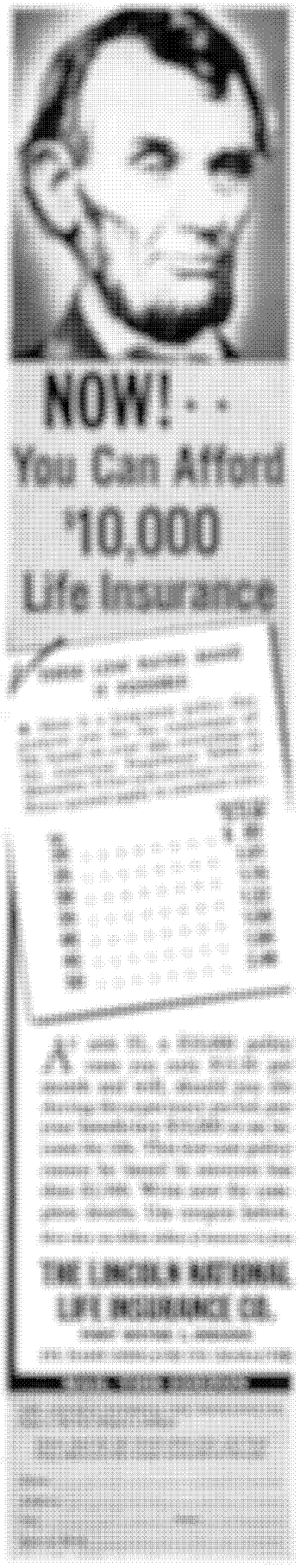
The same men who led China during the period of great progress from 1928 to 1937 and through the heroic years of the war against Japan are still the leaders of China. Few question the honesty of the cabinet members or their patriotism and good intentions or the first-rate ability of some of them—like the minister of communications, General Yu Ta-wei. But criticism of the government is universal. Why?

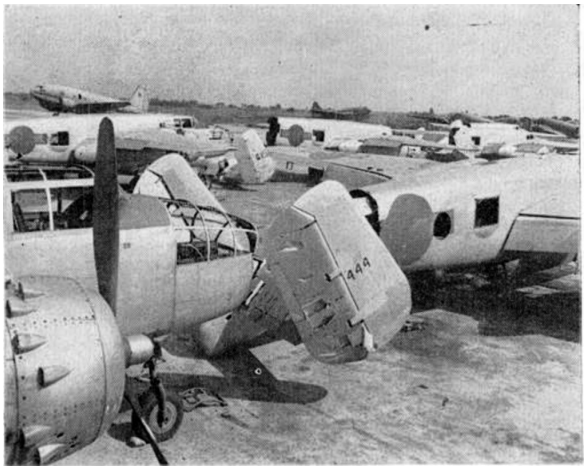
In no country in the world is disillusionment greater than in China. The Chinese people thought that when the Japanese in-

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MUTILATED PLANES were sold by U.S. to Chinese government for spare-parts salvage in 1946. Tails were cut off to prevent B-25s' use in civil war.

CHINA CONTINUED

vaders were driven out they would have peace. They had no idea that the defeat of Japan would be followed immediately by an attempt of the Soviet Union to use the Chinese Communists to destroy their independence and enslave them. At the time of the Japanese attack in 1937, the Chinese Communists had seemed a negligible band of brigands in a section of the poor province of Shensi. At that time, indeed, the Communist army consisted of only 30,000 men.

But the Communists turned out to be the great profiteers of the war against Japan. While the government troops were fighting the Japanese they recruited their forces, and on Aug. 15, 1945, when the Japanese surrendered, they had approximately 300,000 guerrillas under arms in North China. There was not a single armed Chinese Communist in Manchuria. But the Soviet government, which occupied Manchuria when the Japanese surrendered, began to rush Chinese Communists into Manchuria and to arm them with surrendered Japanese arms. In Manchuria they recruited not only local peasants but also Koreans, and their strength there is now close to 350,000. Scattered throughout North China they have now perhaps 400,000 men organized in small armies and guerrilla bands.

Today the tired Chinese people, who expected peace, have war, heavy taxes, rising costs of living and death. They want peace. And they blame the government because they do not have peace. It is the habit of all peoples after great wars to turn in disillusionment against their war leaders—the ejection of Winston Churchill and Charles de Gaulle are recent cases in point. And it is obvious that no Chinese government could be popular under present circumstances. Graft and inefficiency in the administrative services increase the government's unpopularity. But aside from the Communists and fellow travelers, even the Chinese who are most critical of the government do not speak ill of Generalissimo Chiang Kai-shek personally. They admit that his services to China have been greater than those of any man in modern times except Dr. Sun Yat-sen. They admit his complete personal honesty and devotion to his country's welfare. But they say that he is no longer well informed and does not know what is going on in the country, that he listens too much to old friends who helped him 20 years ago, that he has held supreme power so long that no one any longer dares to talk frankly to him, that he is too set in his ways to change either his policies or his intimate advisers, that he cannot, therefore, meet the terrible new problems which confront China today. But to the question, "By whom should he be replaced?" the answer invariably is, "There is no one to replace him."

A program of reform for China

THOSE patriotic Chinese who feel the Generalissimo is not doing all he can to meet the present problems of China wish he would do the following things which compose a rational program of reform:

1. Retire half the generals and a third of the other officers of the army—this being the number they consider incompetent or corrupt or both.
2. Cut the rolls of the army to one half; first, by removing all

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nonexistent troops from the rolls; second, by disbanding units of the lowest quality.

3. Quadruple the pay of those officers and men who remain in the army and double their rations.

4. Punish severely all officers and men who, after having been given a living wage, graft.

5. Cut out all duplicate and useless government departments and agencies and dismiss all unnecessary government employes. It is estimated that this might reduce the government's civilian payroll by one third.

6. Raise to a living wage the pay of those who remain, then punish severely all who graft.

7. Stop putting the government into industry and business, government ownership being followed inevitably by nepotism, inefficiency and graft. Sell to the highest bidder those industries now under government ownership and genuinely encourage private enterprise.

8. Welcome foreign capital, in acts as well as words.

9. Decentralize the government, reducing military forces and military authority in the whole area south of the Yangtze to the absolute minimum consistent with national safety, returning authority to the civilian provincial governors and permitting the provincial governments to receive directly at least 25% of the land tax and to make decisions with regard to provincial projects.

10. Reform the land tax and all other taxes and demand absolute honesty from tax collectors, under the severest penalties.

11. Hire foreign specialists to direct the reform of taxation, the collection of taxes, the revamping of financial policy and the reconstruction of Chinese industry.

12. Compel all Chinese who have funds in foreign currencies or gold to deliver them to the government, and jail rich men who evade this measure or evade the full payment of their taxes.

13. Apply the draft law to the sons of the rich and influential as rigorously as to the peasants.

14. Eliminate the draft exemption of students, and draft immediately all those students who are working on the side of the enemy in the present war—the Communists and fellow travelers who comprise about 5% of the student body—and put them through a course of re-education before sending them to the front. Permit patriotic students to make as many critical speeches and organize as many demonstrations as they wish.

15. Use Manchurians, as far as possible, in the administration of Manchuria.

16. Publish the exact facts about the Russian Red Army in Manchuria, its rapings and pillagings, publication of which, in fear of Russia, has been forbidden. Also publish the abundant evidence of the subservience of the Chinese Communists to Moscow.

17. Publish facts on smuggling from Hong Kong into China, which is greatly reducing customs revenues.

18. Go through with the nationwide October and December elections, and, when the democratic constitution is in full force, end in reality as well as name the period of "tutelage" by the Kuomintang inaugurated by Dr. Sun Yat-sen in 1924.

A program of this sort would unquestionably be popular throughout China, and with some American assistance it can be carried out.

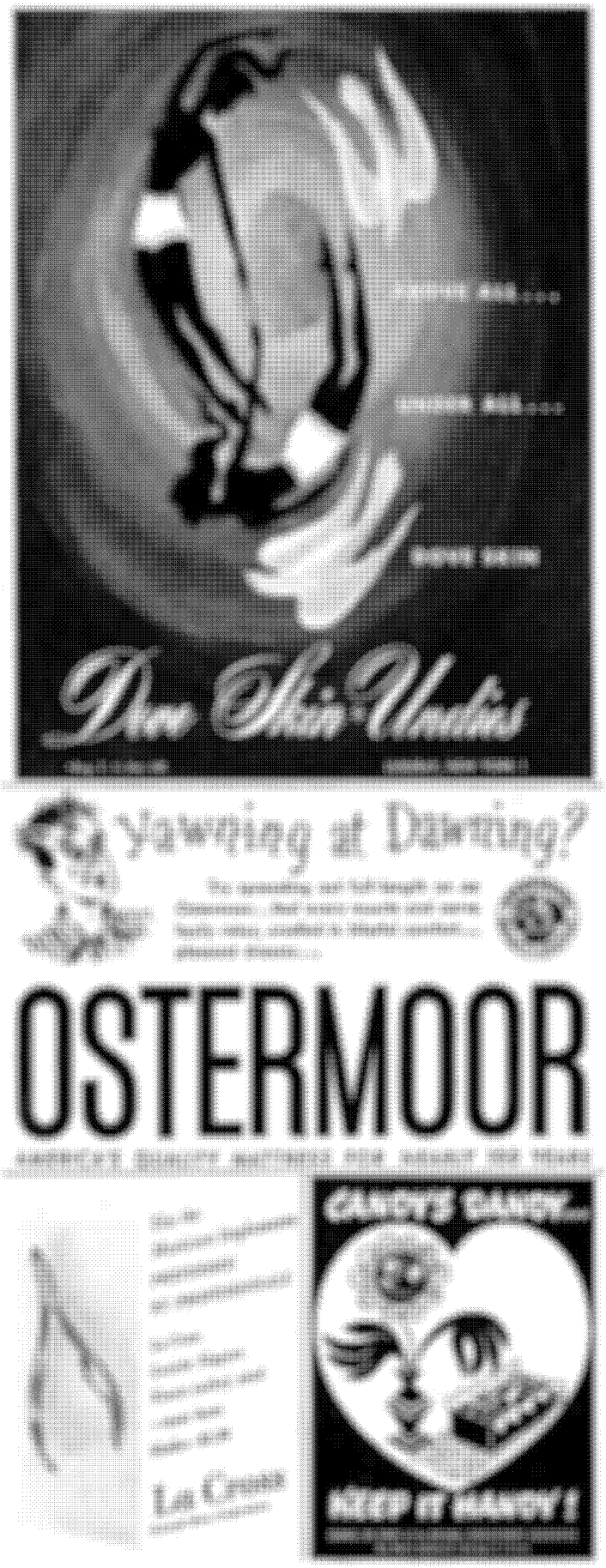
THE COST OF SAVING CHINA

▶ $600,000,000 for credits
▶ $150,000,000 for a monetary fund
▶ $600,000,000 for military aid
This total of $1,350,000,000 is a small price to pay to keep China from falling to the Russians.

THE new democratic constitution of the Republic of China, which was adopted by the National Assembly on Dec. 25, 1946, will enter into force on Christmas Day this year. The Kuomintang, the government party, undoubtedly will win a majority of the votes, and Generalissimo Chiang Kai-Shek will be re-elected president of the Republic of China. There will, therefore, be no break in the continuity of government and the U.S. government can begin today to concert with the Generalissimo plans to finish the war and to get China started again on the road to peaceful modernization of her ancient civilization. How shall we proceed? Neither Chinese internal reforms without American aid nor American aid without Chinese internal reforms can solve the problem of protecting the

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vital interest of the U.S.—and the very life of China. Simultaneously the U.S. and Chinese governments, hand in hand, must attack the problem.

It must be attacked at once on three fronts: 1) economic and financial, 2) military, 3) political. Since the essence of the problem is the ejection of every armed Communist from the soil of China, an intelligent project can be prepared only on the basis of an estimate of the time it will take to win the war. American military experts believe that this may take as long as three years. The Chinese are more optimistic. But let us accept the American estimate and try to sketch a Three Year Plan and estimate its cost.

During the next three years China will need to import large quantities of American cotton, tobacco, wheat, oil, gasoline and many manufactured articles.

The sums she will need to spend for this purpose will far exceed the amount of foreign exchange she will acquire by exports and remittances from her emigrants throughout the world. She will therefore need credits for the purchase of food, raw materials and manufactured articles. *The highest figure for such necessary credits given by American and Chinese economic experts is $250 million* a year—a tiny fraction of what is said to be Europe's requirements. Let us scale that down to $200 million and budget for our total Three Year Plan $600 million of credits for purchases in the U.S. from this autumn to the autumn of 1950.

The sale in China of the food, raw materials and manufactured articles thus acquired would help to retard inflation. After cutting the numbers of the army and the civilian employes, it might be possible to quadruple the pay of all remaining government servants, civilian and military—which is essential for the elimination of graft—without producing a rise in the inflation. Since the task of preventing Stalin from taking over China must be a joint task of the U.S. and Chinese governments, there is no reason why the use of such credits should not be jointly controlled.

It is clear that unless the U.S. government acts rapidly the inflation will soon assume runaway proportions. To control the inflation China needs now a portion of the credits we have envisaged, perhaps $75 million. The remainder of the $200 million for the first year of our Three Year Plan can await action by the Congress; but either from the U.S. foreign relief program or the Export-Import Bank or some other source, this $75 million must be obtained in the next 30 days.

To combat inflation for the duration of our Three Year Plan, to curb speculators against the Chinese dollar and to maintain China's international balance of payments, another fund will be required. All use of such a fund should require the countersignature of a representative of the U.S. government, and it should not be set up until certain corrupt practices are stopped. Let us assume that the Chinese government will act rapidly and effectively against the speculators and budget a $150 million exchange-stabilization fund for our total Three Year Plan.

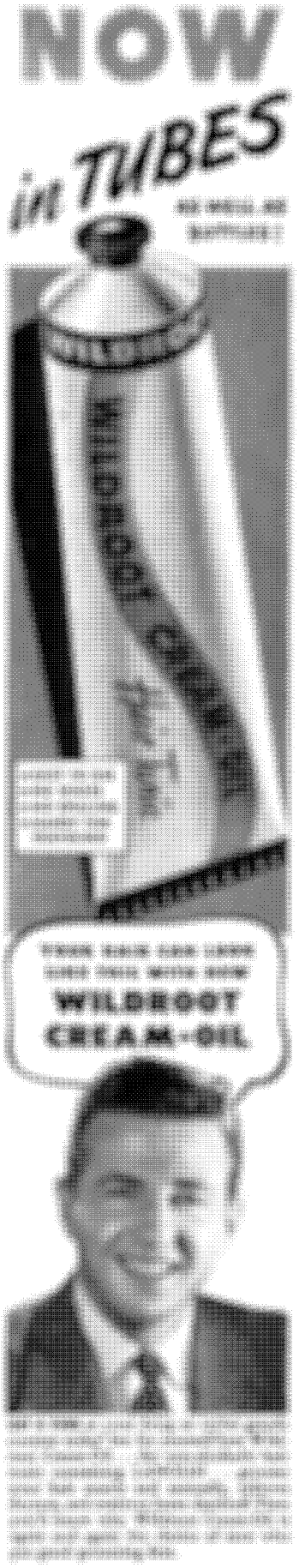
Let us now turn to the military side of the problem, remembering that it is absolutely essential that the President should release immediately certain stocks of munitions and have them rushed to the government troops in Manchuria. This cannot be delayed, or by next spring we shall find Manchuria a Soviet satellite.

According to the estimates of the ablest American and Chinese military men, to drive out of Manchuria the 350,000 Communists will require the training and equipment in the American manner of 10 new divisions. Furthermore, an efficient service of supply from the point of origin of the supplies to the front is essential. The great Manchurian port of Dairen cannot be used because by the Yalta Agreement it is now occupied by Soviet forces. Port improvements in Hulutao and Chinwangtao and the rehabilitation of at least one railroad will therefore be necessary. Until all graft shall have been eliminated from the Chinese army, it would be wasteful to turn over American supplies to a Chinese service of supply. No American can take responsibility for commanding the Chinese army, but American military men can and should run the service of supply in Manchuria.

In North China, where the Communists hold no large cities and are essentially raiders, the problem is one of cornering and capturing guerrillas. For this purpose light-armed, fast-moving troops are needed, equipped with jeeps, half-tracks, light trucks, small arms, machine guns and 75s. The estimates of the ablest American and Chinese officers who have studied this problem indicate that 20 divisions of such troops should be able to clean up North China.

An air force, even of the smallest dimensions, would greatly facilitate operations in both North China and Manchuria. We have thousands of planes and millions of spare parts which are obsolete in terms of our air force but first-rate material for the

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Chinese air force. To release this material and turn it over to the Chinese would cost us nothing but a bookkeeping entry.

It is obvious that the total cost to the U.S. of the military element in the Three Year Plan we have sketched will depend in large measure on the bookkeeping. If we choose to charge the Chinese 5¢ or 10¢ on the dollar for munitions and estimate the total cost of aid in the military field on that basis, the total costs will be low. But there will be real costs for transportation, oil, gasoline, food and the services of Americans to run the service of supply as well as to advise on training and operations. Until a complete plan is drawn up, no estimate, even approximate, can be made. But if we release the necessary munitions it seems unlikely that the costs could be more than $200 million a year—$600 million for the whole Three Year Plan.

If we add to that figure the $600 million envisaged for credits and the $150 million for a monetary fund, we reach a total for the Three Year Plan of $1,350 million—$450 million a year for the next three years. As a price for preventing Stalin from taking over China and organizing its resources and manpower for war against us, the figure is not high.

But all this aid will be ineffective unless the Chinese can revitalize their political life, arouse a new spirit in the country and raise morale in the army. Can we help them to do that, or will suggestions from us be considered impertinent? They will not be considered impertinent if they are made by the right man in the right way. Too many Americans, clothed with a little brief authority, when they go to China confuse the might, majesty, power and dominion of the U.S. with their own personalities and talk down to Chinese who, in truth as men, are their superiors. In the pages of history Generalissimo Chiang Kai-shek bulks larger than any living American. He and Winston Churchill will be remembered together as leaders who had the courage and will to rally their countries in their darkest hours. To protect a vital interest of the U.S. and to defend the very life of China, the closest cooperation between Americans and Chinese is essential. What American has the military knowledge, political skill and personal magnitude to organize such cooperation?

We have in the Far East today a general of supreme stature who possesses all those qualities. If President Truman were to ask General MacArthur to add to his present duties and powers the title of Personal Representative of the President with the rank of Ambassador and to fly to China to organize with the Generalissimo a joint plan to prevent subjugation of China by the Soviet Union, the whole Far Eastern horizon would brighten with hope. The general would not have to abandon his work in Japan. He could divide his time between Tokyo and Nanking. His military, economic and political proposals might well be those outlined in this report. He could establish rapidly with the Generalissimo the relations of two comrades in a front-line trench. They would work together as brothers for their common cause.

The cause is a common cause. If China falls into the hands of Stalin, all Asia, including Japan, sooner or later will fall into his hands. The manpower and resources of Asia will be mobilized against us. The independence of the U.S. will not live a generation longer than the independence of China.



THE MAN WHO CAN HELP CHINA in her struggle, says Bullitt, is General Douglas MacArthur. He alone of Americans has the knowledge and position to assist Generalissimo Chiang Kai-shek as Representative of the U.S. President.

